

Global Luxury Goods

Global Luxury Goods: April Swiss watch exports - Tariff distortions keep YoY trends choppy as comps catch up



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Swiss watch exports declined by -16.6% YoY in Apr'26, with the number of working days unchanged compared to Apr'25. This represents an acceleration from the calendar-adjusted decline in Mar'26 (-6%), which had followed a +9.2% YoY increase in Feb'26. The deterioration was likely driven by a higher comparable base, as exports had been pulled forward ahead of the "Liberation Day" tariffs coming into effect.

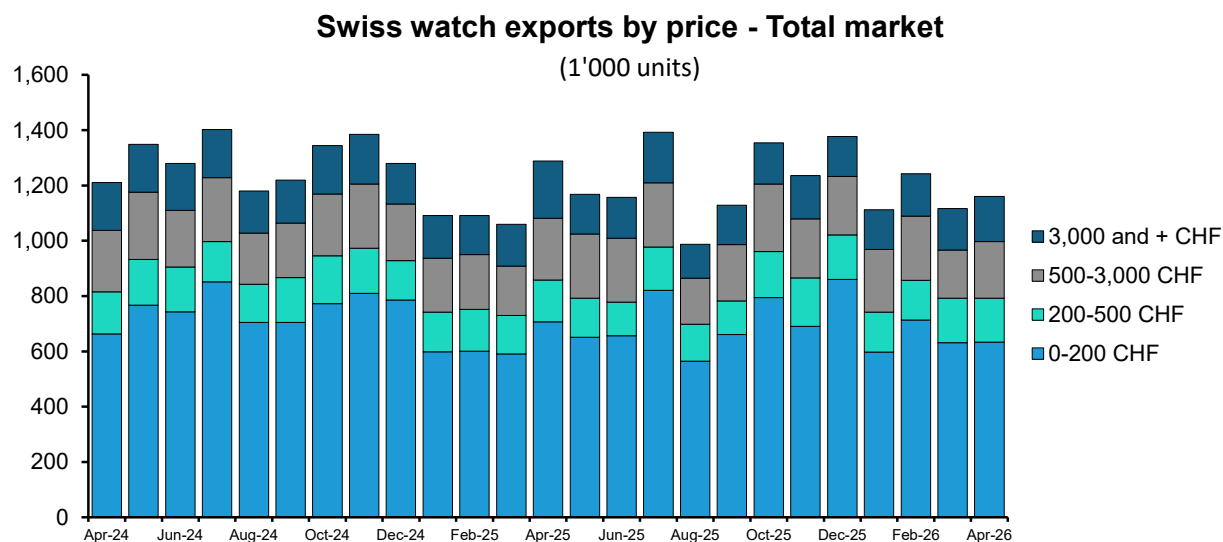
Ongoing tariffs volatility in the US continued to drive fluctuations through base effects. The steep decline in exports to the US (-56.4% YoY) was the primary contributor to the overall contraction, as the comp base now incorporates the pull-forward shipments in Apr'25 in response to tariff. This volatility is likely to persist in YoY comparisons, particularly around July and August. Vs. 2024, exports to the US in Apr'26 remained resilient, growing +8.9%, albeit moderating slightly from +12.1% in 1Q26 (vs. 1Q24).

Underlying trends for Greater China remained broadly stable. Exports to HK (+13.5%) and Mainland China (+17.1%) both recorded double-digit growth in April. However, this was largely supported by a favorable comp base, as shipments in Apr'25 were likely redirected toward the US. Relative to 2024 levels, Apr'26 remained approximately -15% lower, broadly in line with the trend observed in 1Q26 (vs. 1Q24). Exports to France grew strongly at +46.3% YoY. This trend started in Dec'25, and likely reflects re-exports to other destinations rather than underlying domestic demand. In contrast, exports to Middle East declined across the board, including the UAE (-9.5%), Saudi Arabia (-17.3%), and Qatar (-12.0%), likely reflecting the impact of ongoing regional conflict.

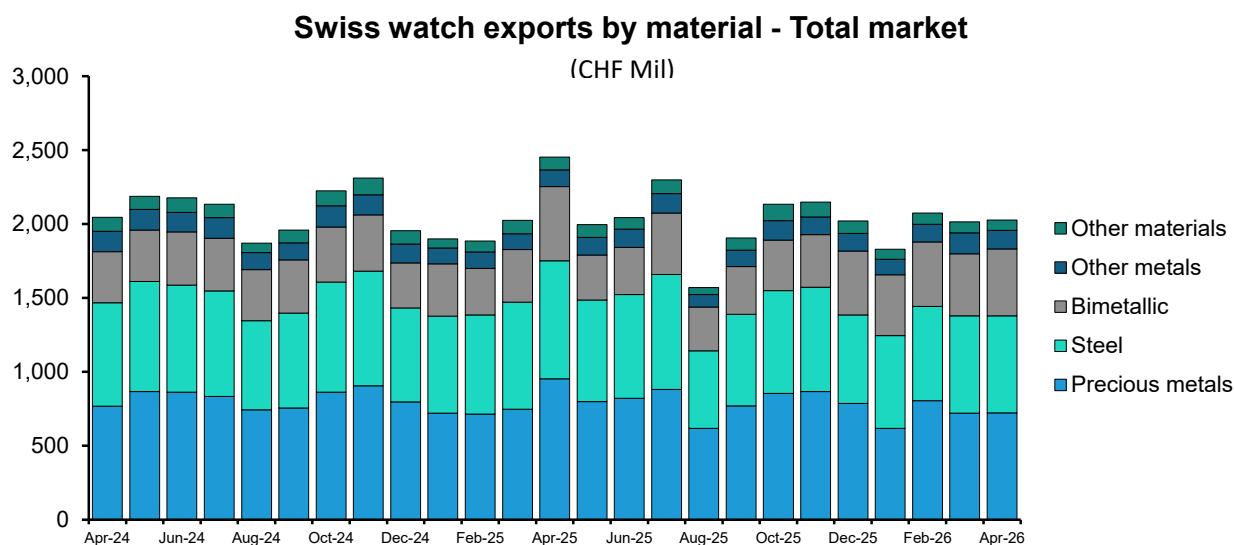
Across price segments, performance was primarily driven by comp effect. CHF 200-500 was the only category to record export value growth (+7.7%), supported by a relatively easier comp base. In contrast, >CHF 3,000 faced the most challenging comparison (+19.8% in Apr'25) and consequently declined the most (-19.0%). <CHF 200 (-14.3%) and CHF 500-3,000 (-12.2%) segments posted more moderate declines.

By material, precious metals experienced the largest decline, while other metals proved more resilient, again largely reflecting base effects. Wristwatches made from other metals were the only category to record YoY value growth (+10.0%), supported by a particularly weak comparison base (-17.0%). Precious metals declined the most (-24.3% versus +23.4% in Apr'25), followed by other materials (-18.3% versus -9.1%), steel (-18.1% versus +13.8%), and bimetallic watches (-9.8% versus +44.5%).

Swiss watch demand remains on track for a gradual recovery, for now. Global export trends continued to recover, with slow and steady improvement in China and resilience in the US, as company commentary suggests that US consumers have taken tariff-related price increases in their stead. The other key risk to watch out for is the development in the Middle East, which was a rare spot of growth in 2025 for the sector. While the short term direct consequences may be limited if the conflict can be quickly resolved, indirect impacts such as reduced travel, higher oil prices/ inflation, and weaker consumer confidence from a drawn-out conflict could threaten early signs of recovery.

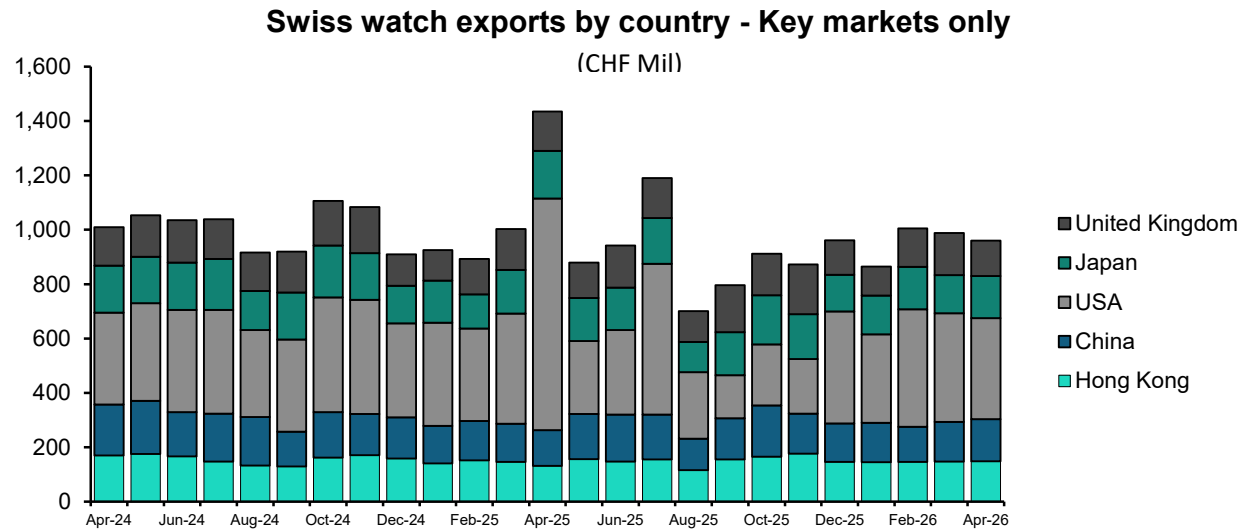
EXHIBIT 1: **Exports of Swiss Wristwatches watches by price categories**

Source: FHS, Bernstein analysis

EXHIBIT 2: **Swiss watch exports by material**

Source: FHS, Bernstein analysis

EXHIBIT 3: **Swiss watch exports by country in absolute numbers**



Source: FHS, Bernstein analysis

INVESTMENT IMPLICATIONS

The trajectory of a recovery in global luxury demand remains uncertain. We find two sources of volatility at play: a) underlying demand gyrations, as consumers navigate a fragile macro-economic environment and a tenuous and tense geopolitical environment; and b) short-term investors playing the sector long and short, amplifying upswings and downswings beyond natural news flow.

In this context of heightened uncertainty, we would take a more defensive posture with a core exposure to plain vanilla:

1) We would prefer high-quality names “at fair value”... **Richemont** is our top preference due to strong jewelry momentum and leadership, with **Brunello Cucinelli** also favored for their quality and potential mean reversion.

2) ...as well as the self-help stories with more promising trajectories. **LVMH** sits between high quality and self-help. Lingering concerns around the W&S turnaround and the Arnault family's 'Darwinian' succession process are counter-balanced by Dior's revival, cost efficiencies, and Louis Vuitton's strength; Turnaround at **Burberry** is well on track. One-year anniversary of the Burberry Forward strategy has paid off, in the form of improved brand momentum and stronger full-price sell-through. With a solid foundation in place, the next leg of turnaround will likely see focus shifting to driving store productivity, by capitalizing on the extended momentum in other categories from the core outerwear & scarf; **Ferragamo** is at the earlier stage of and trading at the lower end of the trading range. Recent conversation with management suggests a possible turnaround in the making, as a team of “old hands” are tackling key issues around the brand, assortment and retail store network.

BERNSTEIN TICKER TABLE

Ticker	Rating	1 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CFR.SW (Richemont)	O	CHF	166.30	200.00	(6.1)%	EUR	5.96	6.89	7.71	30.5	26.4	23.6
UHR.SW (Swatch)	O	CHF	215.10	180.00	41.8%	CHF	0.03	4.32	8.16	N/M	49.8	26.4
RMS.FP (Hermes)	O	EUR	1,609.50	2,150.00	(47.2)%	EUR	43.12	44.33	52.47	37.3	36.3	30.7
MC.FP (LVMH)	O	EUR	469.80	600.00	(15.2)%	EUR	22.73	22.22	26.71	20.7	21.1	17.6
KER.FP (Kering)	M	EUR	247.75	220.00	30.3%	EUR	4.35	6.66	10.04	56.9	37.2	24.7
BRBY.LN (Burberry)	O	GBP	1,165.50	1,300.00	(0.8)%	GBP	0.24	0.39	0.55	47.7	30.0	21.2
BC.IM (Brunello Cucinelli)	O	EUR	82.34	108.00	(37.5)%	EUR	1.99	2.26	2.65	41.4	36.4	31.1
SFER.IM (Ferragamo)	O	EUR	9.25	8.80	48.4%	EUR	(0.30)	0.04	0.15	(31.4)	246.4	63.1
ZGN	O	USD	14.49	14.00	57.5%	EUR	0.45	0.42	0.60	27.5	29.5	20.6
EDME			1,539.40									
EMLSF			6,025.89									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CFR.SW, BRBY.LN base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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